

Question ID: 3d73a58b

Assessment	Test	Domain	Skill	Difficulty
SAT	Math	Problem-Solving and Data Analysis	Percentages	Hard

Question

A gift shop buys souvenirs at a wholesale price of **7.00** dollars each and resells them each at a retail price that is **290%** of the wholesale price. At the end of the season, any remaining souvenirs are marked at a discounted price that is **80%** off the retail price. What is the discounted price of each remaining souvenir, in dollars?

Correct Answer: 203/50, 4.06

Rationale

The correct answer is **4.06**. It's given that the retail price is **290%** of the wholesale price of **\$7.00**. Thus, the retail price is **\$7.00($\frac{290}{100}$)**, which is equivalent to **\$7.00(2.9)**, or **\$20.30**. It's also given that the discounted price is **80%** off the retail price. Thus, the discounted price is **\$20.30($1 - \frac{80}{100}$)**, which is equivalent to **\$20.30(0.20)**, or **\$4.06**.